ECON 2301 — Principles of Macroeconomics

Exam 3 Review — Form B

Dr. Sarabjeet Bedi · Austin Community College

35 multiple-choice questions, 1 point each. Same topics as Exam 3 with new numbers, graphs, and wording — a review, not the exam. Question 35 is select-all-that-apply.

Name: _____ Score: _____ / 35

1. Which of the following best describes a barter system?

A. People pay for goods with checks drawn on bank deposits.
B. People trade goods and services directly for other goods and services.
C. Banks lend money to households and firms.
D. Prices are quoted in several different currencies.

2. You hand a cashier a $20 bill for a pizza. The $20 bill is functioning as a

A. unit of account.
B. medium of exchange.
C. standard of deferred payment.
D. store of value.

3. A plumber who wants groceries no longer has to find a grocer who needs plumbing. Which function of money makes this possible?

A. Store of value
B. Standard of deferred payment
C. Unit of account
D. Medium of exchange

4. A menu lists a burrito at $11.50. Money is being used as a

A. medium of exchange.
B. standard of deferred payment.
C. store of value.
D. unit of account.

5. Comparing a $3 bus fare with a $15 rideshare fare relies on money’s function as a

A. medium of exchange.
B. double coincidence of wants.
C. unit of account.
D. store of value.

6. Keeping $5,000 in cash under a mattress for two years works poorly as a store of value mainly when

A. the inflation rate is high.
B. the economy is at full employment.
C. the Fed lowers the discount rate.
D. interest rates are low.

7. Which statement about U.S. currency is correct?

A. It is made up of the notes and coins held by individuals and businesses.
B. It equals M1 plus M2.
C. It includes savings deposits.
D. It is less efficient than barter.

8. Paying rent with a debit card linked to your checking account shows that checking deposits

A. are not money because no currency changes hands.
B. are money only because they earn interest.
C. are money, because they can be spent directly.
D. become money only after they are withdrawn as cash.

9. Which list contains ONLY components of M1?

A. Currency, credit-card balances, demand deposits
B. Currency, demand deposits, Treasury bills
C. Demand deposits, corporate stock, savings bonds
D. Currency held by the public, demand deposits, other liquid deposits

10. Which of the following counts in M1?

A. The $60 in bills in your wallet
B. The $60 you put on your credit card
C. A $1,000 U.S. savings bond
D. Your $2,000 credit-card limit

11. Which item is NOT counted in either M1 or M2?

A. A credit card
B. Currency held by the public
C. Savings deposits
D. Checking deposits

12. On a commercial bank’s balance sheet, which group lists only ASSETS?

A. Deposits, securities, and cash assets
B. Deposits, loans, and reserves
C. Loans, deposits, and owners’ equity
D. Securities, cash assets, and loans

13. Which institution conducts U.S. monetary policy?

A. The President, with Senate approval
B. The U.S. Treasury
C. The Federal Reserve, acting alone
D. Congress, with the Fed’s advice

14. Who nominates the Chair of the Federal Reserve?

A. The President of the United States
B. The Speaker of the House
C. The Secretary of the Treasury
D. The Federal Open Market Committee

15. The Fed buys and sells government securities to change bank reserves. This tool is called

A. fiscal policy.
B. the reserve requirement.
C. the discount rate.
D. open market operations.

16. When a commercial bank borrows directly from the Federal Reserve, it pays the

A. required reserve ratio.
B. discount rate.
C. prime rate.
D. federal funds rate.

17. If the Fed sells government securities to banks in the open market, banks' reserves

A. stay the same, but deposits rise.
B. increase.
C. stay the same, but loans rise.
D. decrease.

18. The money supply increases when a commercial bank

A. makes a new loan and credits the borrower's checking account.
B. receives a loan repayment.
C. holds more cash in its vault.
D. buys currency from the Fed with its reserves.

19. Reserves a bank holds above the legally required minimum are called

A. excess reserves.
B. vault deposits.
C. required reserves.
D. discount reserves.

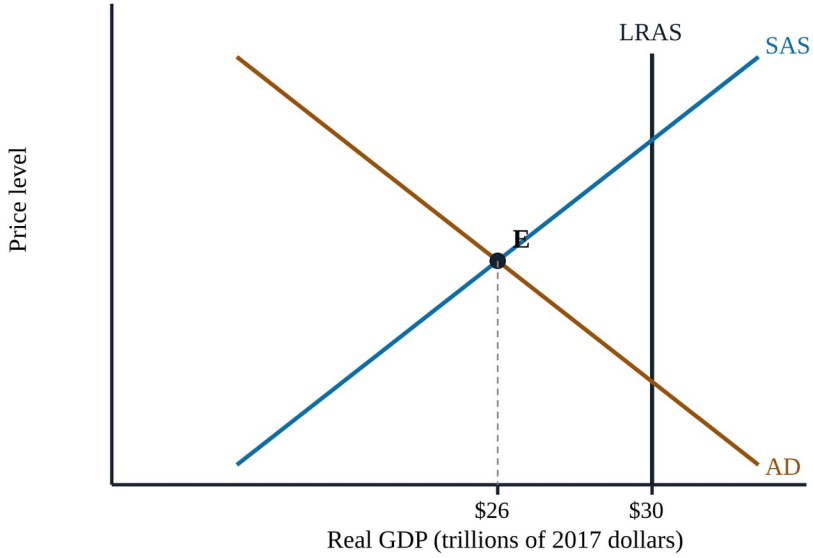
20. For an object to serve as a medium of exchange, it must be

A. backed by gold.
B. issued by a commercial bank.
C. generally accepted by sellers as payment.
D. used only to measure prices.

21. The "double coincidence of wants" is a problem that arises mainly in

A. an economy with high inflation.
B. a barter economy.
C. an economy with a central bank.
D. a monetary economy.

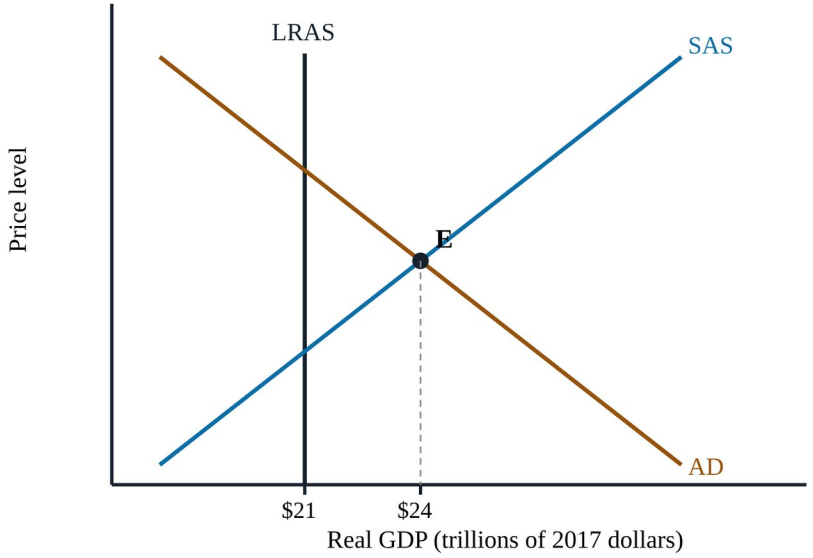
Question 22



The graph above shows the economy's short-run equilibrium E. Which type of output gap exists?

A. Depressionary gap
B. Inflationary gap
C. Recessionary gap
D. Stagflation gap

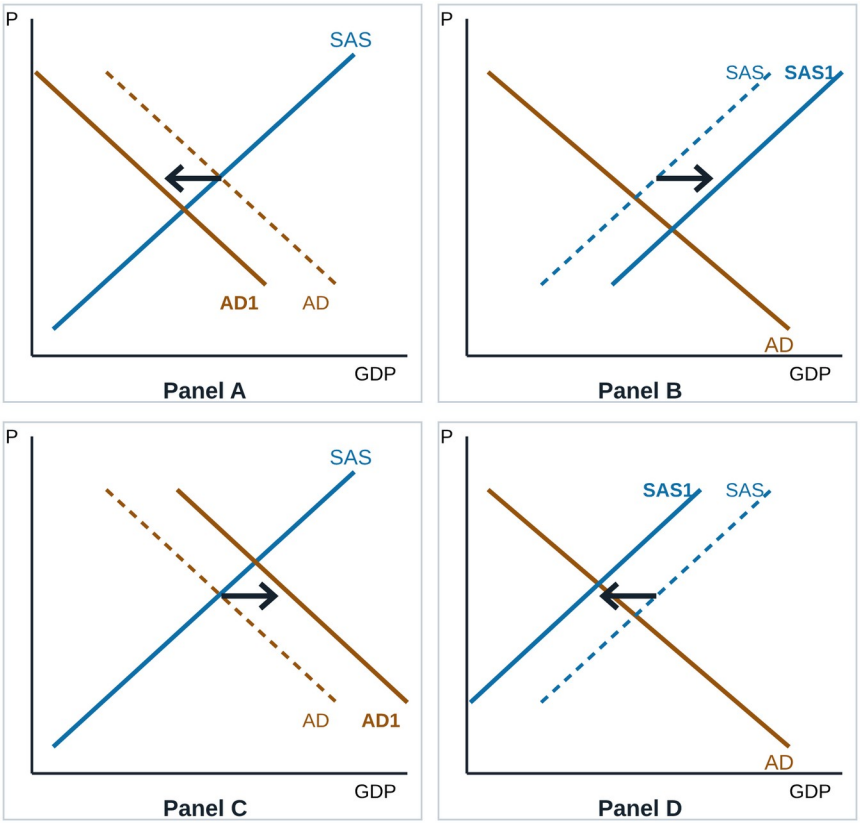
Question 23



The graph above shows the economy's short-run equilibrium E. Which type of output gap exists?

A. Stagflation gap
B. Inflationary gap
C. Depressionary gap
D. Recessionary gap

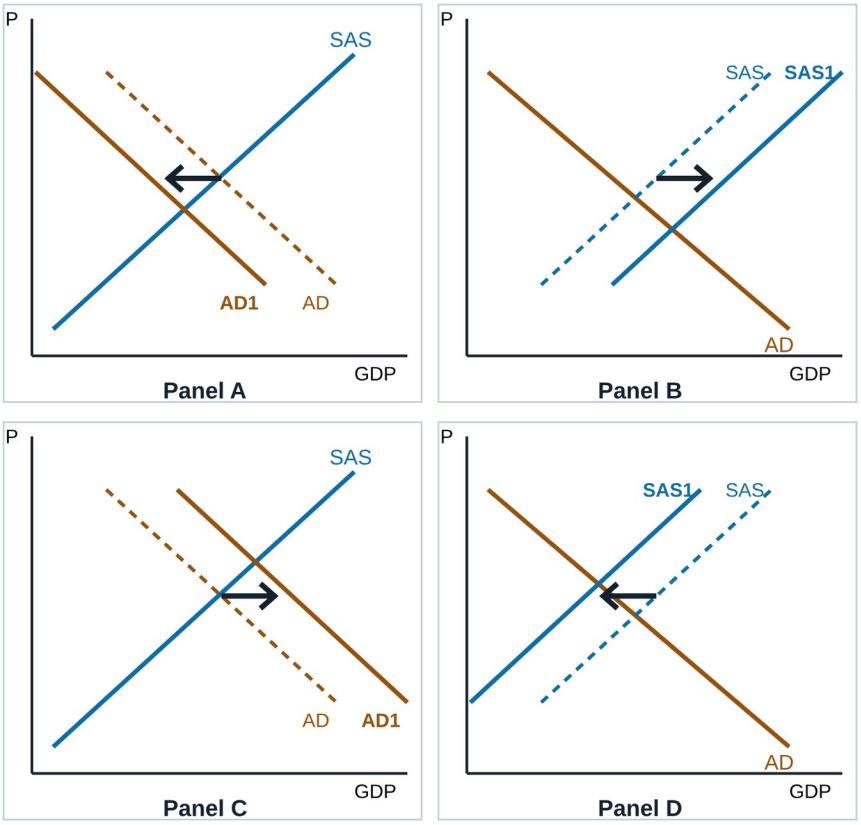
Question 24



In the four panels above, which panel shows the start of a cost-push inflation?

A. Panel A
B. Panel B
C. Panel C
D. Panel D

Question 25



In the four panels above, which panel shows the start of a demand-pull inflation?

A. Panel A
B. Panel B
C. Panel C
D. Panel D

26. An inflation can be started by

A. an increase in aggregate supply only.
B. a decrease in aggregate demand only.
C. an increase in aggregate demand or a decrease in aggregate supply.
D. an increase in aggregate supply or a decrease in aggregate demand.

27. A cost-push inflation begins with a shift of the

A. AD curve leftward.
B. SAS curve leftward.
C. AD curve rightward.
D. SAS curve rightward.

28. Which event could start a demand-pull inflation?

A. Money wage rates rise.
B. The Fed increases the quantity of money.
C. The price of oil rises.
D. Exports to other countries fall.

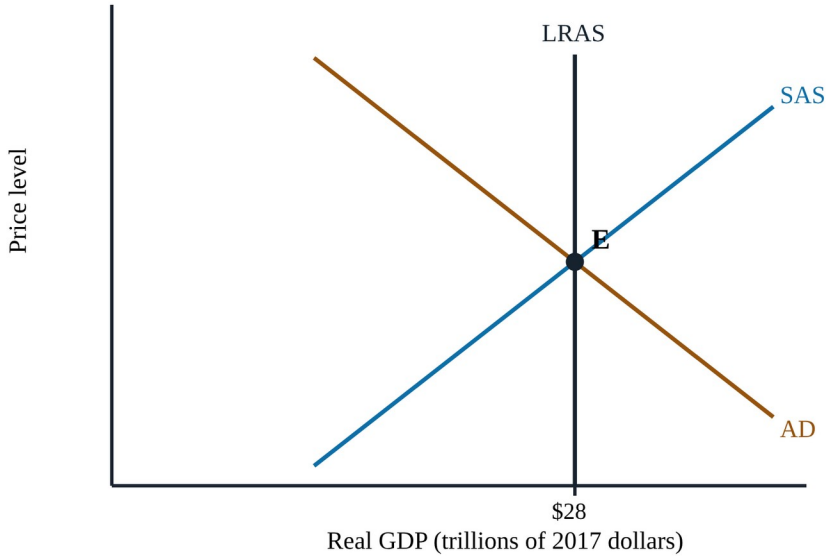
29. Which event could start a cost-push inflation?

A. A cut in income taxes
B. An increase in government expenditure
C. A sharp rise in the price of raw materials
D. An increase in the quantity of money

30. Cost-push inflation can also start with

A. a decrease in interest rates.
B. an increase in household wealth.
C. an increase in exports.
D. an increase in money wage rates.

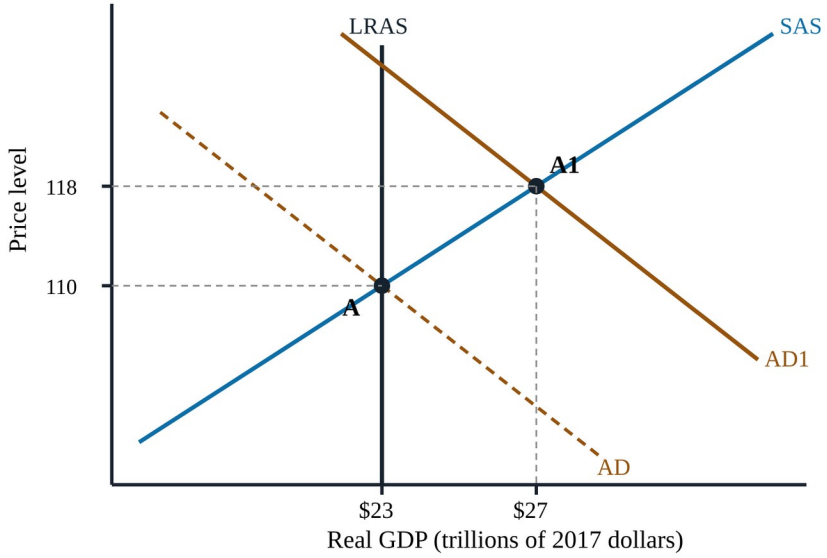
Question 31



In the graph above, the economy at point E is in

A. an inflationary gap.
B. a recession.
C. full-employment equilibrium.
D. stagflation.

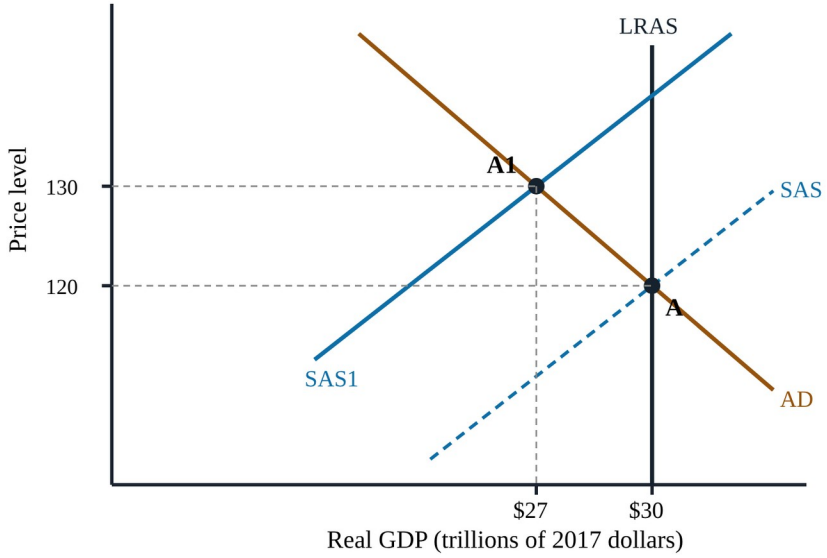
Question 32



The rise in the price level from 110 to 118 in the graph above represents

A. a recession.
B. demand-pull inflation.
C. cost-push inflation.
D. a full-employment equilibrium.

Question 33



The rise in the price level from 120 to 130 in the graph above represents

A. a full-employment equilibrium.
B. an inflationary gap.
C. demand-pull inflation.
D. cost-push inflation.

34. Along a short-run Phillips curve, a lower unemployment rate is associated with

A. a higher inflation rate.
B. lower potential GDP.
C. a lower inflation rate.
D. no change in the inflation rate.

35. At a full-employment equilibrium (select ALL that are true): (Select ALL that are true.)

☐ A. Real GDP equals potential GDP.
☐ B. The unemployment rate is zero.
☐ C. Cyclical unemployment is zero.
☐ D. Frictional and structural unemployment are still present.